

Web3 is anything but free

IN MY PREVIOUS COLUMN, I DID CALL OUT THE CURRENT IMPLEMENTATION OF NFTS AS A MAJOR SCAM AND I VERY MUCH STAND BY THAT. However, I also clarified

that the concept of NFTs has great promise. All that's needed is for the industry leaders to come together and start policing the bad elements. To set up a framework of sorts. This

Before we begin, let me clarify that I'm talking about Web3, the decentralised web concept that crypto bros are championing for, and not Web 3.0. Web 3.0 is the term that Tim Berners-Lee came up with to describe the Semantic Web, an internet where all the data is machine-readable. Web3 is a decentralised version of the internet which aims to give users piecemeal ownership rights. So every person on Web3 could own a piece of it by buying crypto coins offered up by the companies making applications and services for Web3. Sounds great, right? Well, it's another Grade-A scam in the making.

Let's take a look at what Web3 aims to do. It wants to create an internet that is owned by the users unlike the current Web 2.0 which is primarily owned by technology giants such as Google, Facebook and their many peers. By the way, most of these companies are publicly traded, and hence, people already own Web 2.0 by the exact same definition that Web3 proponents quote.

What about the decentralised part? Well, here's the thing about running a decentralised network. It suffers from stagnation, like nothing that you've ever seen. There's a reason why open standards such as IRC (Internet Relay Chat) have not at all evolved over the last two decades. In case of decentralised systems, the majority of participants (if not all of them), need to constantly keep updating to the latest feature sets to keep up with the times. Otherwise, the entire network has to slow down to accommodate the weakest link. It's like connecting an old 802.11b Wi-Fi client to a network running the latest 802.11n Wi-Fi standard. The entire network will be brought down to a crawl just for that one weak link.

Moreover, not a lot of people want to run their own servers and truly own their own data. Private corporations like to do that. Tech-savvy individuals like to run their own

servers just because they can. Most of them actually rent a VPS from a major cloud company rather than building a homebrew server themselves. In reality, most folks would rather pay a reliable company to run their servers for them. Guess what? That's exactly how the Internet of today functions.

It's great to have lofty ideals and there are a lot of evangelists on social media currently championing a blockchain focused Web3. First of all, blockchain as a backbone for running a massive network is one of the most energy-intensive and wasteful means of building a network. Second, you should always check the credentials of these so-called Web3 evangelists. Most of them are linked to some major crypto service or the other and are gunning for Web3 as the latest means of making money off of gullible people. There's no actual need for cryptocurrencies to be involved in creating a new Internet. Some of the Web3 evangelists have even been called out for running crypto scams in the past. They'll create a new service or issue a new coin while internally retaining more than 50 per cent of the coins. So much for giving power to the people. At the end of the day, these individuals are just waiting for the coins to gain a little value before they dump their entire holdings in an instant, and thereby crashing the coins attached to the service. Like I said, it's just another scam waiting to happen. And if they don't want to dump? Well, in that case, you'll learn that the majority of the coins that are held internally, are actually held by private VC firms. And they have zero interest in sharing control or power of ownership with the users.

All the concepts that crypto bros have cited as salient features of Web3 have existed for a long time. The internet can very easily be decentralised, the only problem is that it will stop evolving and growing, right then and there. The internet is already owned by the masses. The companies running data centres, laying down undersea cables, running cell towers in cities, etc. are mostly publicly traded companies. Owning their stocks gives users the same level of control or authority as owning coins of a Web3 service. In either case, that equates to nearly zero. 



"There's no actual need for cryptocurrencies to be involved in creating a new Internet."



Let me know your thoughts on this column at:
@mithun_mohandas |
mithun@digit.in